

Let's Create



2024 Annual Report



Arvind Krishna

Chairman, President and Chief Executive Officer

Dear IBM Investor:

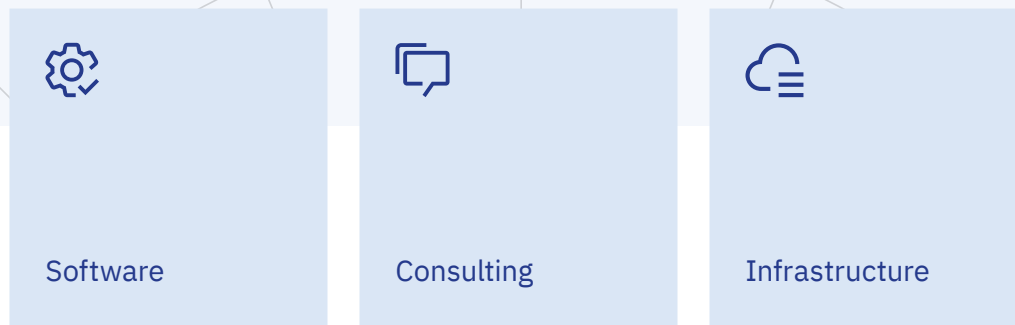
In 2024, IBM made significant progress in becoming a higher growth, higher margin business. We made this progress by combining technology innovation and consulting expertise to drive growth, improve productivity, and enhance operational efficiency -- for our clients, and our own company.

Our strategy continues to build upon the two technological foundations of AI and hybrid cloud, which clients need to unlock the full value of their data. We have made a series of investments to accelerate the delivery of that value to our clients, from transforming the way we work to reorienting our portfolio around powerful, AI-based solutions.

As this report demonstrates, these investments are paying off, delivering meaningful returns for our shareholders, clients, and partners. Today, IBM is a software-led, fully integrated platform company, built to grow sustainably. This is the ROI of IBM.

2024 Performance

For the year, IBM generated \$62.8 billion in revenue, up 3% at constant currency, and \$12.7 billion in free cash flow — an increase of \$1.5 billion year-over-year. Our generative AI book of business now stands at more than \$5 billion since inception. This revenue growth and cash generation enabled us to make significant investments in the business and deliver value to our shareholders. In 2024, we allocated more than \$7 billion to research and development, closed 11 acquisitions to enhance our capabilities, and returned more than \$6 billion



to shareholders through dividends. IBM expanded operating gross profit margin by 130 basis points in 2024, driven by a focus on high-value offerings and productivity initiatives.

Software revenue grew 9% at constant currency, reflecting strong demand for our advanced capabilities in hybrid cloud, data and AI, automation, transaction processing, and security. Red Hat performed well as clients embraced its open hybrid cloud platform.

Consulting revenue increased 1% at constant currency, demonstrating our clients' continued need for expertise in AI deployment, digital transformation, and cloud modernization, despite a dynamic market environment.

Infrastructure revenue declined 3% at constant currency, in line with product cycle expectations. IBM z16 is now the most successful mainframe program in our history, highlighting its enduring value to clients.

Technology innovation and consulting expertise

IBM's mission to help businesses leverage technology to scale and grow profitably is more critical than ever. Technology is now the key to sustainable growth and business transformation.

At the core of these transformations is artificial intelligence. Our clients have moved beyond experimentation and are now looking to scale AI in their businesses and generate return from their investments. To achieve that return, they need access to effective, affordable, and efficient enterprise AI.

IBM has established an early leadership position in this regard, building a portfolio of enterprise AI offerings focused on generating ROI through productivity improvements and automation. IBM watsonx provides a robust portfolio of AI products for developing AI apps, managing data, and governing the entire lifecycle of AI models. AI assistants manage key tasks, including customer service and writing code. We are developing pre-built AI agents that deliver multitask reasoning for specific business domains. And our Granite family of fit-for-purpose AI models, when tuned with proprietary data, can deliver enterprise-grade generative AI with up to 90% improved cost efficiency. Granite allows clients to bring their own data into the models, and can be trained on that data in weeks, not months.

Deploying AI at scale across an enterprise requires seamless access to the data that feeds it. In this way, hybrid cloud is an essential ingredient for maximizing the return of AI investments. That is why 75% of AI deployments are expected to use containers by 2027, and demand for our hybrid cloud solutions remains strong.

Already, more than 90% of Fortune 500 companies are using IBM's hybrid cloud products and solutions. And last year, we launched two new offerings to give clients a consistent, open-source foundation for AI: Red Hat Enterprise Linux AI and OpenShift AI. Together, our AI and hybrid cloud platforms bring together the data, models, governance and monitoring capabilities needed to automate workflows and drive productivity. And they create a flywheel of growth for IBM, with each offering pulling through demand for the others.

A driving force behind this flywheel of growth is IBM Consulting, which fuels approximately 80% of our AI bookings. IBM is the only technology company with a consulting business at scale, which is a unique differentiator, especially when it comes to helping clients deploy AI. Our 160,000 consultants apply their data, AI and hybrid cloud expertise to guide business transformation for our clients. In 2024, we augmented that expertise with a new platform called IBM Consulting Advantage. By equipping our consultants with role and domain-specific AI assistants, agents, and applications, IBM Consulting Advantage enables deeper insights, faster time-to-value, and improved efficiency compared to traditional consultancy approaches.

Supporting this work is a powerful combination of processing and storage infrastructure built to handle data-intensive workloads with security and reliability. In 2024, we announced architecture details for the Telum II processor and the Spyre AI Accelerator, designed for next-generation IBM Z mainframe systems that power generative AI at scale. And our storage business continued to grow as a premier data management platform for hybrid cloud and enterprise AI, while also helping to prevent cyber-attacks.

In addition to these offerings, we continue to remix our portfolio through strategic acquisitions – such as Neural Magic, StreamSets and webMethods – to bolster our software-based AI and hybrid cloud capabilities.

Our go-to-market approach

Over the last five years, we have improved the way IBM goes to market, embracing a broad ecosystem of partners, developing experiential and technical sales methods, and adopting our own technology first, before we deploy it with clients.

We are also pioneering the model of a software-led, integrated enterprise that is driving value for our clients and growth for IBM. At the end of 2024, software represented approximately 45% of IBM's total revenue. These solutions, in turn, generated demand for our full suite of integrated offerings: approximately 80% of IBM's revenue is generated by clients that buy across all three of our business segments (Software, Consulting, and Infrastructure).

Increasingly, clients come to IBM through a thriving partner ecosystem, which has been essential in helping our clients capitalize on the massive growth and transformation

opportunities presented by hybrid cloud and AI. We recognize that no single company can provide all the technology and skill needed to drive digital transformation. So, we have strengthened our strategic partnerships with key industry leaders like AWS, Microsoft, Salesforce, SAP, Palo Alto Networks, and Oracle. These partnerships serve our clients better and create a multiplier effect for IBM.

Additionally, IBM has adopted a “client zero” philosophy, meaning we benefit from the same technology solutions we offer to our clients. In particular, we have aggressively adopted AI-powered automation to drive productivity. For example, 94% of IBM's basic HR queries are now answered by an AI assistant. Our contract drafting process is now 80% faster. Overall, we have delivered approximately \$3.5 billion in productivity savings since the beginning of 2023. These efforts are not just about efficiency. They are the engine of innovation and growth that allows us to invest in our business and serve our clients better.

A new era of innovation

The mission of IBM Research has always been to invent what's next in computing – creating solutions that meet the needs of our clients, thereby defining the future of information technology. Today, Research is driving powerful innovations across hardware, software, hybrid cloud, AI, and quantum computing, all of which creates value for our clients and growth opportunities for our company.

For example, to better serve clients who told us that the large, unwieldy generative AI models on the market were too unreliable and expensive, IBM Research developed the open and trusted Granite family of models, released under the permissive Apache 2.0 license. The models deliver strong performance across many academic and enterprise benchmarks at a fraction of the cost.

Quantum computing is another example of IBM Research's leadership. We have deployed more than 70 quantum systems, with more than 250 organizations joining our IBM Quantum Network. We have also scaled the industry's best-performing quantum software with Qiskit. In 2024, we introduced the IBM Quantum Heron processor, with reduced error rates, 16 times better performance, and a 25-fold increase in speed over previous systems. We expanded our IBM Quantum Data Center in Poughkeepsie, New York and opened the first IBM Quantum Data Center in Europe

(Ehningen, Germany). We also announced a partnership with the State of Illinois to build the National Quantum Algorithm Center in Chicago and deploy a next-generation IBM Quantum System Two, supporting the future of quantum-centric supercomputing.

Going forward, IBM Research will continue to build and optimize computing architectures that allow enterprises to move and process data seamlessly between GPUs, CPUs, and QPUs, solving previously unsolvable problems for businesses and the world.

The ROI of IBM

At IBM, we expect all investments to yield a return. That is evident in the increasing value we are delivering for our shareholders, clients, and employees.

For shareholders, we have delivered 29 consecutive years of dividend increases. And from 2022 through the end of 2024, we created greater than \$100 billion in shareholder value and outperformed the S&P 500 by 58 points.

The returns we generate for clients are based on the value we deliver to them, and the trust they place in IBM. For example, NatWest Bank used a virtual agent built with watsonx to improve satisfaction in key areas of customer service by 150%. With the help of IBM Consulting, Cathay Pacific migrated more than 90 critical applications to the cloud with zero downtime, achieving a 70% faster time-to-market, all while improving scalability and security. And Water Corporation modernized its computing infrastructure with a hybrid cloud model built around Red Hat, reducing operation costs by 40% and saving 1,500 hours of manual labor per year.

For the IBMers around the world who invest their time and talent in serving our clients and partners, the return is evident in our culture. The vast majority of our workforce recommend IBM as a great place to work and say they are proud to be IBMers. That culture is fueled, in part, by IBM's commitment to develop the skills our workforce requires to lead the next eras of technology.

As we look ahead, we will continue to drive returns and deliver on our commitment to be the catalyst that makes the world work better. We extend this simple invitation for you to join us on this journey: Let's Create.



Arvind Krishna

Chairman, President and Chief Executive Officer

In an effort to provide additional and useful information regarding the company's financial results and other financial information, as determined by generally accepted accounting principles (GAAP), this letter contains non-GAAP financial measures, including revenue growth rates adjusted for constant currency, free cash flow and operating gross profit margin. The rationale for management's use of this non-GAAP information is included on page 6, 7 and 35 of the company's 2024 Annual Report, which is Exhibit 13 to the Form 10-K submitted with the SEC on February 25, 2025. For reconciliation of these non-GAAP financial measures to GAAP and other information, please refer to pages 16, 28 and 35 of the company's 2024 Annual Report. For generative AI, book of business includes Software transactional revenue, SaaS Annual Contract Value and Consulting signings. For more information regarding generative AI book of business, refer to Exhibit 99.2 of the Form 8-K submitted with the SEC on January 29, 2025.

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OVERVIEW

The financial section of the International Business Machines Corporation (IBM or “the company”) 2024 Annual Report includes the Management Discussion, the Consolidated Financial Statements and the Notes to Consolidated Financial Statements. This Overview is designed to provide the reader with some perspective regarding the information contained in the financial section.

Organization of Information

- The Management Discussion is designed to provide readers with an overview of the business and a narrative on our financial results and certain factors that may affect our future prospects from the perspective of management. The “Management Discussion Snapshot” presents an overview of the key performance drivers in 2024.
- Beginning with the “Year in Review,” the Management Discussion contains the results of operations for each reportable segment of the business, a discussion of our financial position and a discussion of cash flows as reflected in the Consolidated Statement of Cash Flows. “Prior Year in Review,” provides a summary of our reportable segment results and year-to-year comparisons between 2023 and 2022. These segment results have been recast to conform to our organizational structure and management system changes described below. Management Discussion also includes: “Looking Forward” and “Liquidity and Capital Resources,” the latter of which includes a description of management’s definition and use of free cash flow.
- The Consolidated Financial Statements provide an overview of income and cash flow performance and financial position.
- The Notes follow the Consolidated Financial Statements. Among other items, the Notes contain our accounting policies, revenue information, acquisitions and divestitures, certain commitments and contingencies and retirement-related plans information.
- In the first quarter of 2024, we made changes to our organizational structure and management system to better align our portfolio to the market, increase transparency and improve segment comparability to peers. These changes did not impact our Consolidated Financial Statements, but did impact our reportable segments. The segments are reported on a comparable basis for all periods. In addition, due to the removal of certain components of segment profitability we also updated the title of our segment performance metric from pre-tax income from continuing operations to segment profit. Refer to note D, “Segments” for additional information on our reportable segments.
- Over the past several years, we have taken actions to reduce the risk profile of our worldwide retirement-related plans, while at the same time increasing the funded status of the plans. In 2022 and 2024, non-participating single group annuity contracts were purchased from insurers which irrevocably transferred to the insurers certain defined benefit (“DB”) pension obligations and related plan assets. There were no changes to the amount of benefits payable to the participants and beneficiaries of the plans transferred. These pension transfers reduced our pension obligations and assets by approximately the same amount and were purchased using assets from their respective retirement plans with no additional funding contributions required from IBM. Each transaction resulted in the recognition of a one-time, non-operating, non-cash, pre-tax pension settlement charge (“pension settlement charge”) in the respective period of the pension transfer. In September 2022, the IBM Personal Pension Plan (“Qualified PPP”) irrevocably transferred to insurers approximately \$16 billion of the Qualified PPP’s DB pension obligations and related plan assets, resulting in a pension settlement charge of \$5.9 billion (\$4.4 billion net of tax) in the third quarter of 2022. In September 2024, the Qualified PPP irrevocably transferred to an insurer approximately \$6 billion of the Qualified PPP’s DB pension obligations and related plan assets, resulting in a pension settlement charge of \$2.7 billion (\$2.0 billion net of tax) in the third quarter of 2024. In October 2024, IBM Canada LTD (“IBMC”) irrevocably transferred to insurers approximately \$1.2 billion of the IBMC IBM Retirement Plan DB pension obligations and related plan assets, resulting in a pension settlement charge of \$0.4 billion in the fourth quarter of 2024. These pension settlement charges were primarily related to the accelerated recognition of accumulated actuarial losses of the plans and, given they were non-operating and non-cash, they did not impact our operating (non-GAAP) earnings or cash flow results. Refer to note U, “Retirement-Related Benefits,” for additional information.
- The references to “adjusted for currency” or “at constant currency” in the Management Discussion do not include operational impacts that could result from fluctuations in foreign currency rates. When we refer to growth rates at constant currency or adjust such growth rates for currency, it is done so that certain financial results can be viewed without the impact of fluctuations in foreign currency exchange rates, thereby facilitating period-to-period comparisons of business performance. Financial results adjusted for currency are calculated by translating current period activity in local currency using the comparable prior-year period’s currency conversion rate. This approach is used for countries where the functional currency is the local currency. Generally, when the dollar either strengthens or weakens against other currencies, the growth at constant currency rates or adjusting for currency will be higher or lower than growth reported at actual exchange rates. Refer to “Currency Rate Fluctuations” for additional information.
- Within the financial statements and tables in this Annual Report, certain columns and rows may not add due to the use of rounded numbers for disclosure purposes. Percentages presented are calculated from the underlying whole-dollar numbers. Certain prior-year amounts have been reclassified to conform to the change in current year presentation. This is annotated where applicable.

Operating (non-GAAP) Earnings

In an effort to provide better transparency into the operational results of the business, supplementally, management separates business results into operating and non-operating categories. Operating earnings from continuing operations is a non-GAAP measure that excludes the effects of certain acquisition-related charges and intangible asset amortization, expense resulting from basis differences on equity method investments, retirement-related costs, certain impacts from the Kyndryl separation and their related tax impacts. Due to the unique, non-recurring nature of the enactment of the U.S. Tax Cuts and Jobs Act (U.S. tax reform), management characterizes the one-time provisional charge recorded in the fourth quarter of 2017 and adjustments to that charge as non-operating. Adjustments primarily include true-ups, accounting elections and any changes to regulations, laws or audit adjustments that affect the recorded one-time charge. Management characterized direct and incremental charges incurred related to the Kyndryl separation as non-operating given their unique and non-recurring nature. In 2022, these charges primarily related to any net gains or losses on the Kyndryl common stock and the related cash-settled swap with a third-party financial institution, which were recorded in other (income) and expense in the Consolidated Income Statement. As of November 2, 2022, the company no longer held an ownership interest in Kyndryl. For acquisitions, operating (non-GAAP) earnings exclude the amortization of purchased intangible assets and acquisition-related charges such as in-process research and development, transaction costs, applicable retention, restructuring and related expenses, tax charges related to acquisition integration and pre-closing charges, such as financing costs. These charges are excluded as they may be inconsistent in amount and timing from period to period and are significantly impacted by the size, type and frequency of our acquisitions. Management has also characterized as non-operating expense, given its unique and temporary nature, the mark-to-market impact on the foreign exchange derivative contracts entered into prior to the acquisition of StreamSets and webMethods from Software AG, beginning in December 2023, to economically hedge the foreign currency exposure related to the purchase price of this acquisition. These derivative contracts expired by June 28, 2024. This impact was recorded in other (income) and expense in the Consolidated Income Statement and reflects the changes in fair value of these derivative contracts. All other spending for acquired businesses is included in both earnings from continuing operations and in operating (non-GAAP) earnings. For retirement-related costs, management characterizes certain items as operating and others as non-operating, consistent with GAAP. We include defined benefit plan and nonpension postretirement benefit plan service costs, multi-employer plan costs and the cost of defined contribution plans in operating earnings. Non-operating retirement-related costs include defined benefit plan and nonpension postretirement benefit plan amortization of prior service costs, interest cost, expected return on plan assets, amortized actuarial gains/losses, the impacts of any plan curtailments/settlements including the impact of the pension settlement charges of \$3.1 billion (\$2.4 billion net of tax) and \$5.9 billion (\$4.4 billion net of tax) in 2024 and 2022, respectively. Refer to note U, "Retirement-Related Benefits," for additional information. Non-operating retirement-related costs are primarily related to changes in pension plan assets and liabilities which are tied to financial market performance, and we consider these costs to be outside of the operational performance of the business.

Overall, management believes that supplementally providing investors with a view of operating earnings as described above provides increased transparency and clarity into both the operational results of the business and the performance of our pension plans; improves visibility to management decisions and their impacts on operational performance; enables better comparison to peer companies; and allows us to provide a long-term strategic view of the business going forward. In addition, these non-GAAP measures provide a perspective consistent with areas of interest we routinely receive from investors and analysts.

FORWARD-LOOKING AND CAUTIONARY STATEMENTS

Certain statements contained in this Annual Report may constitute forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995. Any forward-looking statement in this Annual Report speaks only as of the date on which it is made; IBM assumes no obligation to update or revise any such statements except as required by law. Forward-looking statements are based on IBM's current assumptions regarding future business and financial performance; these statements, by their nature, address matters that are uncertain to different degrees. Forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to be materially different, as discussed more fully elsewhere in this Annual Report and in the company's filings with the Securities and Exchange Commission (SEC), including IBM's 2024 Form 10-K filed on February 25, 2025.

MANAGEMENT DISCUSSION SNAPSHOT

(\$ and shares in millions except per share amounts)

For year ended December 31:	2024 ⁽²⁾	2023	Yr.-to-Yr. Percent/Margin Change
Revenue ⁽¹⁾	\$ 62,753	\$ 61,860	1.4 %
Gross profit margin	56.7 %	55.4 %	1.2 pts.
Total expense and other (income)	\$ 29,754	\$ 25,610	16.2 %
Income from continuing operations before income taxes	\$ 5,797	\$ 8,690	(33.3)%
Provision for/(benefit from) income taxes from continuing operations	\$ (218)	\$ 1,176	NM
Income from continuing operations	\$ 6,015	\$ 7,514	(19.9)%
Income from continuing operations margin	9.6 %	12.1 %	(2.6)pts.
Income/(Loss) from discontinued operations, net of tax	\$ 8	\$ (12)	NM
Net income	\$ 6,023	\$ 7,502	(19.7)%
Earnings per share from continuing operations—assuming dilution	\$ 6.42	\$ 8.15	(21.2)%
Consolidated earnings per share—assuming dilution	\$ 6.43	\$ 8.14	(21.0)%
Weighted-average shares outstanding—assuming dilution	\$ 937.2	\$ 922.1	1.6 %
Assets ⁽³⁾	\$ 137,175	\$ 135,241	1.4 %
Liabilities ⁽³⁾	\$ 109,783	\$ 112,628	(2.5)%
Equity ⁽³⁾	\$ 27,393	\$ 22,613	21.1 %

(1) Year-to-year revenue growth of 3 percent adjusted for currency.

(2) 2024 includes the impact of pension settlement charges of \$3.1 billion (\$2.4 billion net of tax) resulting in an impact of (\$2.57) to diluted earnings per share from continuing operations and an impact of (\$2.56) to consolidated diluted earnings per share. Refer to note U, "Retirement-Related Benefits," for additional information.

(3) At December 31.

NM—Not meaningful

The following table provides the company's operating (non-GAAP) earnings for 2024 and 2023. Refer to page 28 for additional information.

(\$ in millions except per share amounts)

For year ended December 31:	2024	2023	Yr.-to-Yr. Percent Change
Net income as reported ⁽¹⁾	\$ 6,023	\$ 7,502	(19.7)%
Income/(Loss) from discontinued operations, net of tax	8	(12)	NM
Income from continuing operations ⁽¹⁾	\$ 6,015	\$ 7,514	(19.9)%
Non-operating adjustments (net of tax)			
Acquisition-related charges	1,456	1,292	12.7 %
Non-operating retirement-related costs/(income) ⁽¹⁾	2,668	(30)	NM
U.S. tax reform impacts	(455)	95	NM
Operating (non-GAAP) earnings	\$ 9,684	\$ 8,870	9.2 %
Diluted operating (non-GAAP) earnings per share	\$ 10.33	\$ 9.62	7.4 %

(1) 2024 includes the impact of pension settlement charges of \$2.4 billion net of tax. Refer to note U, "Retirement-Related Benefits," for additional information.

NM—Not meaningful

Macroeconomic Environment

Our business portfolio underpinned by advanced technology and deep consulting expertise positions us uniquely to deliver end-to-end business transformations. Our diversification across geographies, industries, clients and business mix and our recurring revenue base provides some stability in revenue, profit and cash generation. Clients and partners continue to leverage technology to allow businesses to scale, drive efficiencies and fuel sustainable and profitable growth. The economic headwinds driven by factors such as geopolitical tensions, interest rate volatility, supply chain vulnerabilities, demographic shifts and evolving cyber threats are leading clients to manage their discretionary spending, which has impacted certain areas of our Consulting business during 2024.

For the year ended December 31, 2024, movements in global currencies continued to impact our reported year-to-year revenue and profit. We execute hedging programs which defer, but do not eliminate, the impact of currency. The (gains)/losses from these hedging programs are reflected primarily in other (income) and expense. Refer to "Currency Rate Fluctuations," for additional information.

Financial Performance Summary

In 2024, we reported \$62.8 billion in revenue, income from continuing operations of \$6.0 billion, which includes the impact of the pension settlement charges of \$3.1 billion (\$2.4 billion net of tax), and operating (non-GAAP) earnings of \$9.7 billion, which excludes the impact of the pension settlement charges. Refer to "Organization of Information," for additional information. Diluted earnings per share from continuing operations was \$6.42 as reported, including an impact of \$2.57 from the pension settlement charges, and diluted earnings per share was \$10.33 on an operating (non-GAAP) basis. We generated \$13.4 billion in cash from operations and \$12.7 billion in free cash flow, and returned \$6.1 billion to shareholders in dividends. We are pleased with the progress we made in 2024, delivering revenue growth in our re-positioned business and strong cash flow generation. Our 2024 performance demonstrates the success of our focused strategy, enhanced portfolio and sustainable revenue growth. We increased our investment in innovation and talent and completed eleven acquisitions in 2024, strengthening our hybrid cloud and AI capabilities, all while continuing to return value to shareholders through our dividend.

Total revenue grew 1.4 percent year to year as reported and 3 percent adjusted for currency compared to the prior year, led by our Software performance. Software revenue increased 8.3 percent as reported and 9.0 percent adjusted for currency, with strength across our portfolio. Hybrid Platform & Solutions increased 8.1 percent as reported and 8.7 percent adjusted for currency, reflecting growth across all lines of business with double-digit revenue growth in Red Hat and Automation. Transaction Processing increased 8.7 percent as reported and 9.6 percent adjusted for currency, with growth in both recurring and transactional revenue. Consulting revenue decreased 0.9 percent as reported but grew 0.6 percent adjusted for currency, and continued to be impacted by a dynamic market environment as clients reprioritized spending. Infrastructure decreased 3.9 percent year to year as reported and 2.7 percent adjusted for currency, reflecting product cycle dynamics.

From a geographic perspective, Americas revenue decreased 1.3 percent year to year as reported (0.7 percent adjusted for currency). Europe/Middle East/Africa (EMEA) increased 5.1 percent as reported (4.7 percent adjusted for currency). Asia Pacific grew 3.0 percent as reported (7.9 percent adjusted for currency).

Gross margin of 56.7 percent increased 1.2 points year to year, with continued margin expansion driven by portfolio mix and ongoing productivity initiatives. Operating (non-GAAP) gross margin of 57.8 percent increased 1.3 points versus the prior year, due to the same dynamics.

Total expense and other (income) increased 16.2 percent in 2024 versus the prior year primarily driven by the pension settlement charges of \$3.1 billion in 2024, higher spending reflecting our continued investment in portfolio innovation to drive our strategy and higher workforce rebalancing charges. This was partially offset by a gain from the sale of certain QRadar Software-as-a-Service (SaaS) assets, the gain on the divestiture of The Weather Company assets, the benefits from productivity and the actions taken to transform our operations, and the effects of currency. Total operating (non-GAAP) expense and other (income) increased 1.8 percent year to year, driven primarily by the factors described above, excluding the pension settlement charges.

Pre-tax income from continuing operations was \$5.8 billion in 2024 compared with \$8.7 billion in the prior year and pre-tax margin was 9.2 percent, a decrease of 4.8 points versus 2023. The year-to-year performance was primarily driven by the pension settlement charges in 2024 partially offset by our gross margin expansion and the benefits from productivity and the actions taken to transform our operations which enabled investments to drive innovation. The continuing operations effective tax rate for 2024 was (3.8) percent compared to 13.5 percent in 2023. The current-year effective tax rate was primarily driven by the tax impact of the pension settlement charges and the resolution of certain tax audit matters. Net income from continuing operations was \$6.0 billion in 2024 compared with \$7.5 billion in the prior year and net income from continuing operations margin was 9.6 percent, a decrease of 2.6 points year to year. Operating (non-GAAP) pre-tax income from continuing operations of \$11.2 billion increased 8.7 percent year to year and the operating (non-GAAP) pre-tax margin from continuing operations increased 1.2 points to 17.9 percent. Our revenue growth, portfolio mix and productivity initiatives resulted in strong operating (non-GAAP) pre-tax income growth in 2024 compared to the prior year. The operating (non-GAAP) effective tax rate for 2024 was 13.6 percent compared to 14.0 percent

in 2023. Operating (non-GAAP) income from continuing operations of \$9.7 billion increased 9.2 percent and the operating (non-GAAP) income margin from continuing operations of 15.4 percent was up 1.1 points year to year.

Diluted earnings per share from continuing operations, which included an impact of \$2.57 from the pension settlement charges, was \$6.42 in 2024 compared with \$8.15 in 2023. Operating (non-GAAP) diluted earnings per share of \$10.33 increased 7.4 percent versus 2023.

At December 31, 2024, the balance sheet remained strong with financial flexibility to support and invest in the business. Cash and cash equivalents, restricted cash and marketable securities at year end were \$14.8 billion, an increase of \$1.3 billion from December 31, 2023. During 2024, we invested \$3.3 billion in acquisitions and returned \$6.1 billion to shareholders through dividends. Total debt of \$55.0 billion at December 31, 2024 decreased \$1.6 billion driven by maturities partially offset by debt issuances.

Total assets increased \$1.9 billion (\$5.2 billion adjusted for currency) from December 31, 2023 primarily driven by an increase in goodwill mainly related to the StreamSets and webMethods acquisition, and higher cash and cash equivalents. Total liabilities decreased \$2.8 billion (increased \$0.5 billion adjusted for currency) from December 31, 2023 primarily driven by a decrease in debt and postretirement benefit obligations partially offset by an increase in deferred income. Total equity of \$27.4 billion increased \$4.8 billion from December 31, 2023, primarily driven by net income, common stock issuances and a decrease in accumulated other comprehensive loss; partially offset by dividends.

During 2024, we generated \$13.4 billion in cash from operating activities, compared to \$13.9 billion in 2023. While cash provided by financing receivables declined year to year from business variability, we had performance-related improvements within net income driving an increase within cash from operating activities. Our free cash flow was \$12.7 billion, an increase of \$1.5 billion versus the prior year. Refer to page 35 for additional information on free cash flow. Net cash used in investing activities of \$4.9 billion decreased \$2.1 billion compared to the prior year, mainly driven by a decrease in cash used in acquisitions, higher cash provided by divestitures and the proceeds from the sale of certain QRadar SaaS assets; partially offset by higher net purchases of marketable securities and other investments. Net cash used in financing activities of \$7.1 billion increased \$5.3 billion compared to 2023, mainly due to a lower level of debt issuances and a higher level of maturities in the current year.

DESCRIPTION OF BUSINESS

Please refer to IBM's Annual Report on Form 10-K filed with the SEC on February 25, 2025, for Item 1A, entitled "Risk Factors."

IBM is addressing the hybrid cloud and AI opportunity with a platform-centric approach, focused on providing client value through a combination of technology and business expertise. We provide integrated solutions and products that leverage: data, information technology, deep expertise in industries and business processes, with trust and security and a broad ecosystem of partners and alliances. Our hybrid cloud platform and AI technology and services capabilities support clients' digital transformations and help them engage with their customers and employees in new ways. These solutions draw from an industry-leading portfolio of capabilities in software, consulting services and a deep incumbency in mission-critical systems, all bolstered by one of the world's leading research organizations.

IBM Strategy

Over the past 5 years, IBM has shifted to higher growth areas, with approximately 75 percent of our business mix in Software and Consulting. Our strategic focus is hybrid cloud and artificial intelligence (AI), today's most transformative technologies. As clients drive business growth using their existing technology and investing in new ones, they seek flexibility across distributed technology environments and the need to realize value from AI. We have shaped our business to focus on those client needs.

Our strategy aligns with the needs of our clients

Companies are increasingly deploying technology workloads across environments where the business runs, with over 90 percent of executives reporting moving to hybrid cloud architectures (IBM IBV). As organizations continue to face innovation challenges, including increased technical complexity, rapidly growing costs, and scarcity of expertise, AI is an opportunity to unlock unrealized value. However, AI brings similar challenges, including costs of AI models, complexity of AI solutions and its governance, and expertise gaps in integrating AI solutions into business workflows.

To solve these innovation challenges, leading organizations are embracing a hybrid 'by design' platform approach. It allows them to take advantage of hybrid multi-cloud by minimizing cost and complexity which simplifies innovation and operations. IBM Consulting has quantified the value of a hybrid by design approach and shown it delivers over three times higher return on investment.

Companies continue to invest in AI and are looking for better approaches to drive enterprise AI adoption. AI is inherently hybrid as it needs to inference, govern, and manage across multiple environments. Conversely, AI simplifies the complexity of hybrid cloud environments through visibility, resource optimization, and automation across platforms and processes.

IBM is strategically positioned to help clients unlock their next chapter of technology-led business growth. It will be built across hybrid multi-cloud and leverage AI. With our portfolio of technology and consulting capabilities, we uniquely help deliver that growth.

IBM's differentiated portfolio value

IBM Software makes technology that delivers innovation and productivity with capabilities to enable end-to-end enterprise use cases, client usage, consumption, and expansion. We deliver this value in four major areas: Transaction Processing, powering IBM Z to deliver unmatched scalability, security, availability and real-time fraud detection for our client's mission-critical workloads; Automation, boosting application performance and optimizing costs across clients' technology operations and reducing overall complexity; Data, accelerating productivity by infusing AI at scale into applications and business processes to drive decisions in real-time; Hybrid cloud platform (Red Hat), unifying on-prem, public and private clouds, and the edge to scale applications and AI models across environments. All capabilities support hybrid cloud deployment and have security and AI embedded throughout.

IBM Consulting provides strategy & technology and intelligent operations services to address clients' most challenging business goals – including how to be more productive, accelerate growth, and drive innovation. We deliver domain expertise to drive client adoption through our offerings, leveraging hybrid cloud and AI technologies from IBM Software and with strategic partners including AWS, Microsoft, Oracle, SAP, and many others across the ecosystem. IBM Consulting brings speed and scale to innovative solutions that combine industry, domain, and hybrid cloud knowledge together with AI-powered assets, such as IBM Consulting Advantage, a first of its kind AI delivery platform designed to deliver solutions at scale and realize faster time to value, transforming how our consultants work.

IBM Infrastructure enables hybrid cloud environments for mission-critical transactions and AI workloads, while maintaining the highest security and availability. The business is anchored by IBM Z which excels at delivering transaction processing capability with an industry-first integrated on-chip AI accelerator designed for high-speed, latency-optimized inferencing to deliver unmatched throughput, availability, and security. Our distributed infrastructure offerings, Power, Storage, and Cloud, accelerate client's digital transformations while our Infrastructure Support delivers lifecycle services enhanced with AI to optimize hybrid cloud environments.

In support for each business segment, our AI strategy focuses on four key differentiators to help address adoption and challenges: Open, Cost Efficient, Hybrid and Domain Expertise, which we deliver across our portfolio. We enable cheaper inferencing built for hybrid cloud architectures with our Red Hat AI portfolio. We provide small, open Granite models that deliver better performance at a fraction of the price. We embed domain expertise in our models, technologies, and consulting offerings to speed client adoption and value.

IBM Research continues to demonstrate the ability to transition research to market-ready solutions; reinventing how work gets done and building on its legacy of transforming innovation in computing into client-grade solutions. In 2024, we continued to innovate around hybrid cloud and AI which created new business opportunities for IBM, including Granite 3.0 models and InstructLab. In quantum computing, we continue to progress along our Quantum Development & Innovation Roadmap, including the release of the Heron quantum chip and launch of Qiskit 1.0 software development kit.

In addition to organic innovation, we accelerate our strategy and client value with **inorganic investments**. Areas of focus include hybrid cloud, data, and AI technology along with strategic consulting capabilities. In 2024 IBM closed multiple deals, the most material being the acquisition of assets from Software AG to bolster our automation, data and AI portfolios, and Neural Magic to fuel optimized generative AI innovation across hybrid cloud. Additionally, we announced our intention to acquire HashiCorp, adding advanced capabilities in hybrid multi-cloud infrastructure automation and orchestration.

Hybrid cloud and AI together have the power to unleash business productivity. IBM can bring hybrid cloud and AI to life for clients through our portfolio across the various business segments. Each of our business segments contribute to and benefit from the hybrid cloud and AI strategy. Clients realize greater value when complementary parts of the portfolio come together. For example, within Consulting, we have the world's largest Red Hat practice differentiated with hybrid by design methodologies, with Consulting Advantage used to leverage AI across every stage of the project lifecycle. In IBM Z, watsonx code assistant for Z uses AI to accelerate modernization journeys, delivering more value to clients.

Collaborating to create value with clients and ecosystem partners

Building our ecosystem is core to our overall strategy, focusing on helping clients transform their core operations and create new sources of competitive advantage through the application of AI and hybrid cloud technologies. Our approach to client engagement allows us to meet clients where they are. We bring our next-generation innovations and core platforms to a wide range of clients and partners through our signature THINK event tour and IBM TechXchange conference. The Partner Plus program makes it easy for partners to deepen technical expertise on IBM products, allowing clients more choice on who to partner with. Additionally, we continue to co-invest with our strategic partners – Adobe, AWS, Microsoft, Oracle, Palo Alto Networks, Salesforce, SAP, ServiceNow – to amplify joint impact for our clients by embedding IBM technology into core platforms that run their businesses.

We also bring product innovations to clients through use cases, our internal “client zero” productivity proof points, and technical experiences to demonstrate the value of our technology as a source of competitive advantage. For example, we have resolved 94 percent of low-level HR inquiries with our AskHR assistant, built on watsonx, freeing up HR professionals to focus on more complex issues. We believe that being a client zero exemplar accelerates our product roadmap and commercial success in addition to delivering productivity to the business.

Business Segments and Capabilities

IBM operates in more than 175 countries around the world. Our platform-centric hybrid cloud and AI strategy is executed through our operations and consists of four business segments: Software, Consulting, Infrastructure and Financing.

In the first quarter of 2025, we announced changes to the reported revenue categories within our Software and Consulting reportable segments effective January 1, 2025. These changes will not impact our Consolidated Financial Statements or our reportable segments. Refer to “Looking Forward,” for additional information.

Software

Software provides software solutions that address client needs for a hybrid cloud platform, data and AI, automation, and security on their journey to hybrid cloud. It includes all software, except operating system software reported in the Infrastructure segment.

Software comprises two business areas – Hybrid Platform & Solutions and Transaction Processing, which have the following capabilities:

Hybrid Platform & Solutions: includes software, infused with AI, to help clients operate, manage and optimize their IT resources and business processes within hybrid, multi-cloud environments. It includes the following:

Red Hat: provides enterprise open-source solutions, for hybrid, multi-cloud environments, which includes Red Hat Enterprise Linux (RHEL), OpenShift, our hybrid cloud platform, as well as Ansible.

Automation: optimizes processes from business workflows to IT operations with AI-powered automation. Automation includes software for business automation, IT automation, integration and application runtimes.

Data & AI: accelerates data-driven agendas by infusing AI throughout the enterprise, empowering intelligent decision making. The portfolio includes capabilities that simplify data consumption through data fabric with data management, optimize lifecycle management, and make better predictions through business analytics. Data & AI capabilities facilitate sustainable, resilient businesses and enable intelligent management of enterprise assets and supply chains with environmental intelligence.

Security: creates a risk-aware, secure business by gaining real-time threat insights, orchestrating actions and automating responses across all touchpoints, in line with a zero-trust security strategy. Security includes software for data security, identity and access management, and threat management.

Transaction Processing: supports clients' mission-critical, on-premise workloads in industries such as banking, airlines and retail. This includes transaction processing software such as Customer Information Control System and storage software, as well as the analytics and integration software running on IBM operating systems such as DB2 and WebSphere running on z/OS.

Consulting

Consulting provides deep domain, technical, and industry expertise and market-leading capabilities in business transformation, technology implementation and managed services, including cloud managed and application services. Consulting designs, builds and operates technology and business processes based on open, hybrid cloud architectures leveraging the power of generative AI, with IBM technology and ecosystem partner technologies. Consulting uses its IBM Garage method and assets deployed through IBM Consulting Advantage to convene experts to co-create solutions with clients to accelerate their digital transformations through AI and automation.

Consulting comprises three business areas – Business Transformation, Technology Consulting and Application Operations, which have the following capabilities:

Business Transformation: provides strategy, process design, system implementation and operations services to improve and transform key experiences and business processes. These services deploy AI and automation in business processes to exploit the value of data and include an ecosystem of partners alongside IBM technology, including strategic partnerships with Adobe, Oracle, Salesforce and SAP, among others.

Technology Consulting: helps clients architect and implement solutions securely across cloud platforms, including Amazon, Microsoft, Palo Alto Networks, and IBM, and deploy strategies to transform the enterprise experience and enable innovation, including data transformation for AI with watsonx and application modernization for hybrid cloud with Red Hat OpenShift.

Application Operations: focuses on managing, optimizing, orchestrating, and securing custom application and ISV packages for clients. Services include application management, platform engineering, and security services across hybrid cloud environments.

Infrastructure

Infrastructure provides trusted and secure solutions for hybrid cloud and is optimized for infusing AI into mission-critical transactions.

Infrastructure comprises two business areas – Hybrid Infrastructure and Infrastructure Support, which have the following capabilities:

Hybrid Infrastructure: provides clients with innovative infrastructure platforms to help meet the new requirements of hybrid multi-cloud and enterprise AI workloads leveraging flexible and as-a-service consumption models. Hybrid Infrastructure includes IBM Z and Distributed Infrastructure.

Management Discussion

International Business Machines Corporation and Subsidiary Companies

IBM Z: the premier transaction processing platform with leading security, resilience and scale, highly optimized for mission-critical, high-volume transaction workloads and enabled for enterprise AI and hybrid cloud. It includes IBM Z and LinuxONE, with a range of high-performance systems designed to address enterprise computing capacity, security and performance needs, z/OS, a security-rich, high-performance enterprise operating system, as well as Linux and other operating systems.

Distributed Infrastructure: includes Power, Storage and IBM Cloud Infrastructure-as-a-Service (IaaS). Power consists of high-performance servers, designed and engineered for data intensive and AI-enabled workloads and optimized for hybrid cloud and Linux. The Storage portfolio consists of a broad range of storage hardware and software-defined offerings, including Z-attach and distributed flash, tape solutions, software-defined storage controllers, data protection software and network-attach storage. IBM Cloud IaaS is built on enterprise-grade hardware with leading security and compliance capabilities and offers flexible computing options across architectures to meet client workload needs.

Infrastructure Support: delivers comprehensive, proactive and AI-enabled maintenance and support services to maintain and improve the availability and value of clients' IT infrastructure (hardware and software) both on-premises and in the cloud including maintenance for IBM products and other technology products.

Financing

Financing facilitates IBM clients' acquisition of hardware, software and services through its financing solutions. The financing arrangements are predominantly for products or services that are critical to the end users' business operations and support IBM's hybrid cloud and AI strategy. Financing conducts a comprehensive credit evaluation of its clients prior to extending financing. As a captive financier, Financing has the benefit of both deep knowledge of its client base and a clear insight into the products and services financed. These factors allow the business to effectively manage two of the primary risks associated with financing, credit and residual value, while generating strong returns on equity.

Financing comprises the following two business areas – Client Financing and Commercial Financing:

Client Financing: lease, installment payment plan and loan financing to end-user clients for terms generally up to seven years. Assets financed are primarily new and used IBM hardware, software and services.

Commercial Financing: short-term working capital financing to business partners and distributors primarily of IBM products and services. The company has an existing agreement with a third-party investor to sell IBM short-term commercial financing receivables on a revolving basis. Refer to note K, "Financing Receivables," for additional information.

Human Capital

Employees and Related Workforce

(In thousands)	
For the year ended December 31:	2024
IBM/wholly owned subsidiaries	270.3
Less-than-wholly owned subsidiaries	8.9
Complementary ⁽¹⁾	14.2

(1) The complementary workforce is an approximation of equivalent full-time employees hired under temporary, part-time and limited-term employment arrangements to meet specific business needs in a flexible and cost-effective manner.

As a globally integrated enterprise, IBM operates in more than 175 countries. Our highly skilled global workforce is reflective of the work we do for clients in support of their digital transformations and mission-critical operations through our focus on hybrid cloud and AI. Our employees are among the world's leading experts in hybrid cloud, AI, quantum computing, cybersecurity and industry-specific solutions. We believe our success depends on the caliber of our talent and the engagement and inclusion of IBMers in the workplace.

Talent, Skills and Culture

At IBM, we're committed to attracting, developing and retaining top talent in a dynamic and competitive environment. Our employee value proposition offers a compelling combination of competitive compensation and exciting career opportunities in the development and delivery of innovative technologies that transform businesses worldwide. Our value proposition and talent strategy are designed to retain our talented professionals.

We are continuously transforming and developing our talent through a combination of learning and hiring. In 2024, we focused on adding skills in key areas such as consulting and technical expertise, while also scaling our capacity in strategically important markets. We're committed to upskilling and reskilling our workforce, and our digital learning and career platforms are designed to provide employees with the resources they need to build strategic skills and advance their careers. We believe that sharing candid

feedback is essential to helping our employees develop their skills and elevate their performance, which is critical to our ability to transform and evolve.

Employee engagement is a key indicator of employee well-being and dedication to our mission, purpose and values. We conduct an annual engagement survey to assess the health of our growth culture and employee sentiment. In 2024, over 200,000 employees globally participated in the survey, providing valuable insights that we are using to enhance the employee experience, transform our culture, and improve our interactions with clients and partners. For the fourth year in a row, more than eight out of ten employees who participated in the survey responded that they felt engaged at work, a testament to our industry-leading talent practices.

An inclusive workplace serves as a catalyst for heightened innovation, agility, and overall performance. This environment fuels business growth, sustainable business outcomes and differentiated value to our clients. This is evident in our ability to attract and retain some of the industry's most skilled and talented individuals. Our goal is to ensure individuals from all backgrounds feel a sense of belonging, nurture their talents and advance in their careers. We strive to help all employees build new capabilities, explore various career paths, and engage with mentors to progress in their professional journeys. Once again, our efforts have resulted in nearly nine out of ten of employees who participated in the engagement survey feeling empowered to be their authentic selves at work.

We are committed to pay equity and transparency, fostering an environment of equal pay for equal work regardless of gender, race, or other personal characteristics. Statistical pay equity assessments are conducted across all countries with IBM employees, reinforcing our dedication to our longstanding pay equity practice.

Health, Safety and Well-Being

IBM demonstrates an unwavering commitment to fostering a culture of health, safety, and well-being for its employees. This commitment is reflected in our comprehensive Health & Safety Management System (HSMS), which is externally certified and aims to create a healthy and safe work environment, minimize work-related injuries and illnesses, and empower our workforce to take an active role in managing health and safety risks.

Recognizing employees as our most valuable asset, we have seamlessly integrated well-being into every facet of our business operations. We believe that our employees perform best at work, at home and in the communities where they live and work when their well-being is supported. We believe in not taking a one-size-fits-all approach and strive to provide programs that are culturally relevant and inclusive to address the needs of a global employee population. We take a holistic approach to well-being, not only focusing on fundamental safety items but also addressing physical, mental and financial health.

Access to well-being services and resources are offered through onsite activities and partnerships with external vendors, among other methods of delivery. IBMers worldwide have confidential, 24/7 access to critical mental health support through employee assistance programs and supplemental resources. Other programs include training for employees on resilience, ergonomics, and financial well-being.

In 2024, a resilience-building tool and a digital well-being solution were made available to all IBM employees worldwide. These resources offer a personalized approach to assist IBMers with making small changes – with big results. These resources foster healthier habits focused on physical, mental, and emotional well-being.

YEAR IN REVIEW

Results of Continuing Operations

Segment Details

As discussed in the “Organization of Information” section, we made changes to our organizational structure and management system in the first quarter of 2024. With these changes, we revised our reportable segments and updated the title of our segment performance metric from pre-tax income from continuing operations to segment profit. Prior-year results have been recast to reflect the January 2024 segment changes as described in note D, “Segments.”

The table below presents each reportable segment’s revenue and gross margin results, followed by an analysis of the 2024 versus 2023 reportable segment results. The segment details below are presented under our historical reported revenue categories. Refer to “Looking Forward” for changes to the revenue categories reported within our Software and Consulting reportable segments effective in the first quarter of 2025. These changes will not impact our Consolidated Financial Statements or our reportable segments.

(\$ in millions)

For the year ended December 31:	2024	2023 ⁽¹⁾	Yr.-to-Yr. Percent/ Margin Change	Yr.-to-Yr. Percent Change Adjusted for Currency
Revenue				
Software	\$ 27,085	\$ 25,011	8.3 %	9.0 %
Gross margin	83.7 %	82.9 %	0.8 pts.	
Consulting	20,692	20,884	(0.9)%	0.6 %
Gross margin	27.0 %	26.8 %	0.3 pts.	
Infrastructure	14,020	14,593	(3.9)%	(2.7)%
Gross margin	55.8 %	56.1 %	(0.3)pts.	
Financing	713	741	(3.7)%	(2.5)%
Gross margin	47.9 %	48.1 %	(0.3)pts.	
Other	243	632	(61.6)%	(61.7)%
Gross margin	(352.8)%	(87.4)%	(265.3)pts.	
Total revenue	\$ 62,753	\$ 61,860	1.4 %	2.5 %
Total gross profit	\$ 35,551	\$ 34,300	3.6 %	
Total gross margin	56.7 %	55.4 %	1.2 pts.	
Non-operating adjustments				
Amortization of acquired intangible assets	724	631	14.6 %	
Operating (non-GAAP) gross profit	\$ 36,275	\$ 34,931	3.8 %	
Operating (non-GAAP) gross margin	57.8 %	56.5 %	1.3 pts.	

(1) Recast to reflect January 2024 segment changes.

Software

(\$ in millions)

For the year ended December 31:	2024	2023 ⁽¹⁾	Yr.-to-Yr. Percent Change	Yr.-to-Yr. Percent Change Adjusted for Currency
Software revenue	\$ 27,085	\$ 25,011	8.3 %	9.0 %
Hybrid Platform & Solutions	\$ 18,808	\$ 17,396	8.1 %	8.7 %
Red Hat			11.4	12.0
Automation			14.2	14.8
Data & AI			1.6	2.2
Security			0.8	1.5
Transaction Processing	8,277	7,615	8.7	9.6

(1) Recast to reflect January 2024 segment changes.

Software revenue of \$27,085 million increased 8.3 percent as reported (9.0 percent adjusted for currency) in 2024 compared to the prior year, reflecting growth across all lines of business with double-digit growth in Red Hat and Automation and high single-digit growth in Transaction Processing. This revenue performance reflects the investments we have been making in Software, both organically and through acquisitions. Our investments in generative AI are contributing to growth, as we had strong demand for our generative AI products such as watsonx, Concert and our AI assistants. We also launched new products in the fourth quarter of 2024 including our next generation of watsonx Code Assistant and Guardium Quantum Safe. In 2024, we also had increased revenue contribution from acquisitions compared to the prior year, including Apptio and StreamSets and webMethods. In addition, we had solid growth in our recurring revenue and double-digit growth in our transactional software revenue in 2024, as we accelerated growth through innovation across our Software portfolio.

Hybrid Platform & Solutions revenue of \$18,808 million increased 8.1 percent as reported (8.7 percent adjusted for currency) in 2024 compared to the prior year. Within Hybrid Platform & Solutions, Red Hat revenue increased 11.4 percent as reported (12.0 percent adjusted for currency), which reflects the continued demand for our hybrid cloud solutions as clients are prioritizing application modernization on OpenShift containers and Ansible automation to optimize their IT spending and reduce operational complexity. In 2024, we had double-digit revenue growth in OpenShift and Ansible, and high single-digit revenue growth in RHEL. The growth in OpenShift revenue reflects increased volume in OpenShift Virtualization engagements, and we exited 2024 with OpenShift annual recurring revenue of \$1.4 billion. Automation revenue increased 14.2 percent as reported (14.8 percent adjusted for currency), driven by our SaaS subscription offerings such as AIOps and Management, which includes the higher revenue contribution from Apptio. Data & AI revenue increased 1.6 percent as reported (2.2 percent adjusted for currency), with strong growth in Data Fabric and our AI assistant for Customer Care, driven by client demand for our watsonx platform offerings, and strength in asset and supply chain management software which helps clients run sustainable operations. Security revenue increased 0.8 percent as reported (1.5 percent adjusted for currency), with revenue growth in data security and identity and access management, partially offset by a revenue decline in security threat management.

Across Hybrid Platform & Solutions, our annual recurring revenue (ARR) was \$15.3 billion exiting 2024, growing at a double-digit rate compared to the prior year. ARR is a key performance metric management uses to assess the health and growth trajectory of our Hybrid Platform & Solutions business within the Software segment. The metric was updated in the first quarter of 2024 to reflect the organizational changes described in the “Organization of Information” section above, and to simplify the calculation. ARR is calculated by using the current quarter’s recurring revenue and then multiplying that value by four. This value includes the following consumption models: (1) software subscription agreements, including committed term licenses, (2) as-a-service arrangements such as SaaS and PaaS, and (3) maintenance and support contracts. ARR should be viewed independently of revenue as this performance metric and its inputs may not represent revenue that will be recognized in future periods.

Transaction Processing revenue of \$8,277 million increased 8.7 percent as reported (9.6 percent adjusted for currency) in 2024 compared to the prior year. The performance in 2024 is the result of the combination of clients’ growing capacity demands, solid renewal rates, and increased contribution from our generative AI products, including watsonx code assistant for Z. This growth reflects the innovation and value of our transaction processing software, which helps our clients manage their most mission-critical workloads.

(\$ in millions)

	2024	2023 ⁽¹⁾	Yr.-to-Yr. Percent/ Margin Change
For the year ended December 31:			
Software			
Gross profit	\$ 22,658	\$ 20,721	9.3 %
Gross profit margin	83.7 %	82.9 %	0.8 pts.
Segment profit	\$ 8,684	\$ 7,499	15.8 %
Segment profit margin	32.1 %	30.0 %	2.1 pts.

(1) Recast to reflect January 2024 segment changes.

Software gross profit margin of 83.7 percent in 2024 increased 0.8 points compared to the prior year. Segment profit of \$8,684 million increased 15.8 percent and pre-tax margin of 32.1 percent increased 2.1 points compared to the prior year. The year-to-year increases in segment profit and profit margin reflect our operating leverage driven by our revenue performance and the benefits of the productivity actions taken in 2024; partially offset by key investments across our software portfolio.

Consulting

(\$ in millions)

For the year ended December 31:	2024	2023 ⁽¹⁾	Yr.-to-Yr. Percent Change	Yr.-to-Yr. Percent Change Adjusted for Currency
Consulting revenue	\$ 20,692	\$ 20,884	(0.9)%	0.6 %
Business Transformation	\$ 9,347	\$ 9,179	1.8 %	3.2 %
Technology Consulting	3,653	3,775	(3.2)	(1.5)
Application Operations	7,692	7,930	(3.0)	(1.5)

(1) Recast to reflect January 2024 segment changes.

Consulting revenue of \$20,692 million decreased 0.9 percent as reported, but increased 0.6 percent adjusted for currency in 2024 compared to the prior year. We had year-to-year revenue growth in Business Transformation, while revenue declined in Technology Consulting and Application Operations in 2024. During 2024, we operated in a dynamic macroeconomic environment following our strong performance in 2023, as clients reprioritized their IT spend toward digital transformation and AI initiatives for cost optimization and operational efficiency. We continued to focus on rapidly evolving our offerings and enhancing investments in skills and capabilities to align with these priorities. Our ability to address client demands contributed to Consulting signings growth in 2024 compared to the prior year. Our generative AI offerings contributed to this signings growth, as clients recognized the value we bring in accelerating their digital transformations through our extensive industry and enterprise AI expertise. Our Red Hat consulting practice grew at a double-digit rate in 2024, with revenue contribution across Consulting and ended the year with total revenue of approximately \$3 billion. In addition, Consulting revenue and signings generated through our strategic partnerships continued to grow, contributing double-digit revenue growth year to year. We are actively investing to enhance our skills and capabilities to address our clients' top priorities, including our fourth-quarter 2024 acquisition of Accelalpha, a global Oracle services provider.

Business Transformation revenue of \$9,347 million increased 1.8 percent as reported (3.2 percent adjusted for currency) compared to the prior year, driven by revenue growth in transformation projects for finance, supply chain, and data.

Technology Consulting revenue of \$3,653 million decreased 3.2 percent as reported (1.5 percent adjusted for currency), driven by a decline in client spending on application development; partially offset by revenue growth in cloud-based application modernization projects.

Application Operations revenue of \$7,692 million decreased 3.0 percent as reported (1.5 percent adjusted for currency), as clients reprioritized spending away from on-premise customized services.

(\$ in millions)

For the year ended December 31:	2024	2023 ⁽¹⁾	Yr.-to-Yr. Percent/ Margin Change
Consulting			
Gross profit	\$ 5,589	\$ 5,588	0.0 %
Gross profit margin	27.0 %	26.8 %	0.3 pts.
Segment profit	\$ 2,054	\$ 2,130	(3.6)%
Segment profit margin	9.9 %	10.2 %	(0.3)pts.

(1) Recast to reflect January 2024 segment changes.

Consulting gross profit margin increased 0.3 points to 27.0 percent compared to the prior year. Segment profit of \$2,054 million decreased 3.6 percent and segment profit margin decreased 0.3 points to 9.9 percent compared to the prior year. The segment profit and profit margin performance reflects the investment in skills and capabilities we have made to meet the priorities of our clients, partially offset by the benefits from the productivity actions we took in 2024.